



RESEARCH & INSIGHTS HUB

ETH and the Rise of L2s

Parsing the economics of blockchain scaling and the tradeoffs specific to an L2-focused roadmap.

[View report](#)



The Dencun upgrade represented Ethereum's first major step in its rollup-centric scaling roadmap, which pushes onchain activity to layer-2 (L2) networks. However, this has coincided with a reduction in ETH denominated transaction fees, and appears to have had a negative impact on ETH's "ultrasound money" narrative. Indeed, following the Dencun upgrade in March 2024, ETH spent on transaction fees has dropped to three year lows, and its deflation rate has tapered off and become net inflationary, reaching highs of +0.64% annualized. This has led to some concerns over the sustainable demand profile for ETH based on fees.

That said, we think that reduced transaction fees are a byproduct of generalized blockchain scaling, rather than a tradeoff specific to L2 architecture. Furthermore, we think that the core value of ETH supersedes simple fee payments – it has widespread utility in onchain protocols. The amount of ETH bridged to rollups (Ξ1.5M to date in 2024) has outpaced the total transaction fees spent over this period by more than three fold. Furthermore, a significant portion of ETH is also deployed into various L2 protocols. Aave on Arbitrum currently holds over Ξ200K for example.

This does not preclude L2 tradeoffs entirely, however. Transaction fees on L2s do not have EIP-1559 style burn and sequencers are able to capture profits based on the differences between L2 fees and L1 rent. Furthermore, the introduction of separate blob pricing has possibly introduced a glut of cheap blockspace that may not be saturated in the near term. Despite this, we think that the low fee and high throughput environments on L2s may encourage new suites of applications that

further drive ETH utility. Additionally, these L2-specific tradeoffs are minor relative to other sources of flows like staking in our view.

For more details, see our [full report](#).

Coinbase Markets Call

Stay up to date on the latest crypto and macro news, insights, and market intelligence.

[Watch the latest markets call →](#)

Weekly Market Commentary

Read the latest institutional crypto research on everything from tokenomics to NFTs, and more.

[View our most recent report →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2024 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
www.coinbase.com
[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.